

day basis. Jain says that the payments offering is linked with a unique reward system—offering something called ‘Triple Reward’, which means a customer can choose between cashback, Bajaj Coins or vouchers. It is also creating a Bajaj Pay payments solution for its 120,000 merchant partners. There are plans to launch card swiping machines at point of sale (POS), QR codes, and a payment gateway business. Jain is betting big on payments, where companies like Paytm and BharatPe have built a large network. “Payments will be the main hook or engagement tool both for clients on one hand and merchants on the other hand,” predicts Jain.

While fintech firms are building a lending model on top of payments, Jain is doing the reverse. He explains that the company is a licensed consumer finance company with a complete suite of products. “To reduce friction in the financial services business, you need to manufacture. If I don’t manufacture, I can’t understand the nuance of the business and, in the process, I can’t reduce friction,” says Jain. The entire transformation plan is already in progress. It has now been 18 months since Bajaj started Phase I where it plans to shift all existing consumers to the new digital platform in a staggered manner. Under Phase II, which will be launched in the next eight to nine months, the new-to-Bajaj customer journey will emerge. The app features will also increase from 55 to 117. “So far, the company’s consumer durables financing [business] has been the frontrunner of its customer acquisition engine. However, with the newly launched payments portal, the effectiveness of customer acquisition increases, along with lower costs and minimal risk,” says Philip of Axis Securities.

Challenges Ahead

Shweta Daptardar, Vice President at Elara Securities India, says the development of new marketplaces and apps will translate into increased cross-selling initiatives, higher customer retention, and an improved customer acquisition run-rate. “All of which should culminate in better business traction,” says Daptardar. Jain is eyeing higher engagement rates with customers, which are likely to jump dramatically. “A significantly superior cus-

tomers experience should naturally lead to much higher products per customer. It may lead to higher growth and a lower cost of operations,” he says.

The company will eventually have three integrated ecosystems of app, web and physical products to offer anything and everything. “This is really what we call the omnipresent financial services model,” says Jain. But there will also be challenges on the way. Post the debacles of IL&FS and Dewan Housing Finance, the Reserve Bank of India has suggested bank-like tough regulations for large NBFCs. Based on RBI’s draft guidelines, Bajaj Finance is likely to be placed in the top layer of regulations, which means a higher minimum capital requirement and more supervisory eye (*See Likely Challenges*).

What about turning into a bank? Well, that has its own pros and cons. “The company would enjoy stable liabil-

Jain, who generally starts his day at 7 am, has played a key role in making the company’s zero-interest, consumer durables financing product—now known as ‘Buy now, pay later’—a big hit, so big that it was instantly replicated by competitors, including banks

ity management backed by current and savings accounts (CASA), but spreads and returns on assets (RoAs) will take a hit as becoming a bank would mean fulfilling cash reserve ratio and statutory liquidity ratio requirements,” says Daptardar of Elara Securities. There are also priority sector regulations for deploying capital. Philip of Axis Securities believes that “at an opportune time, there is a possibility that the company will apply for a universal banking licence or look for inorganic acquisitions in the space if permitted through regulations”.

Jain certainly has a game plan in mind. He believes that all the current business initiatives and steps of Bajaj Finance are already in the direction of a bank. “If the new omnipresent financial services model is to become a bank eventually,” argues Jain, “it will create a distinctly differentiated bank. **BT**

@anandadhikari